

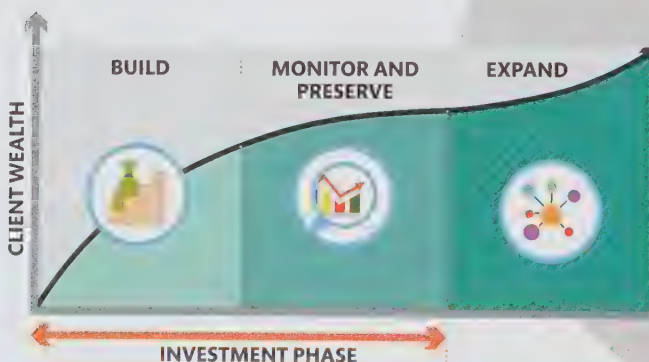


Wealth-building investments

The purpose of investing is either to generate an income (for example in retirement), or to build wealth, although the two functions often overlap. When an investment asset produces income—in the form of interest, dividends, rent, and so on—the money can be reinvested in order to build wealth, instead of being taken as cash for living expenses. Other types of wealth-building investments do not produce income, but grow in value over time and can be sold for profit.

Building wealth through investments

Financial advisors agree that the best way to build wealth is by investing savings to make more, and by buying investments that will generate income and/or gain in value over time. To build wealth, investments need to match or outstrip the cost of living, so investors need to watch the markets closely and keep up to date with economic news, especially changes in interest rates and inflation.



Income-producing investments and other investments that will grow in value over time provide the building blocks.

Close monitoring of investments, and selling those that fail to perform, helps to maintain and enhance wealth.

Reinvesting income from investments that pay interest, dividends, or rent, maximizes returns.

Investments that produce income

Some investments produce income in the form of annual, quarterly, or monthly revenue. If this income is reinvested, rather than spent, then the asset's value will continue to grow, building greater wealth in the long term.



CASH IN BANK ACCOUNTS

Long-term accounts, many of which have penalties for withdrawing cash early, generally pay higher rates of interest.



SUPERANNUATION

Purpose-designed to generate income at retirement, these plans also often offer tax-saving incentives, adding to income potential.



MANAGED FUNDS

These carry higher risk than bank savings, but can produce greater income if fund managers invest successfully.
See pp.184–185